SUPPLY AGREEMENT

DATED [●] 2024

BETWEEN

Jane Aerospace Private Limited
(JAPL/ Company)

AND

ABC[1]
(Customer)

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This **AGREEMENT** ("**Agreement**") is dated [●] 2024 and entered into between:

BY AND BETWEEN:

1. **JANE AEROSPACE PRIVATE LIMITED**, a company incorporated under the Company Act 2013 validly existing under the laws of India, having its registered office at Ave Maria Complex, 2nd floor, 100 ft Road, Jalahalli Cross Rd, Chokkasandra, Peenya, Bengaluru, Karnataka, 560057, (hereinafter referred to as "**JAPL**" or "**Company**", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to include its successors and assigns); of the **FIRST PART**;

AND

2. **[Company Name],** a company incorporated under the laws of India, with corporate registration number: [Company Registration Number] and having its offices at [Address] (hereinafter referred to as the "**Customer**", which expression shall unless repugnant to the context or meaning thereof be deemed to mean and include its successors and permitted assigns) of the **SECOND PART**;

JAPL and Customer are hereinafter jointly referred to as "**Parties**" and individually as a "**Party**".

WHEREAS:

A. JAPL is a pioneer in the field of business support, consultancy infrastructure services and supply chain management services in India. JAPL has a well-established network of international OEMs, distributors and service providers to *inter alia,* support sourcing or procurement or distribution of capital goods, equipment, parts, components, assemblies, sub-assemblies, etc.

B. The Customer is engaged in the business of **[Company Name]**. In pursuance thereof, the Customer has approached JAPL for assistance in procurement of identified Products (*defined below*).

C. Accordingly, the Parties have decided to enter into this Agreement to record their mutual understanding in relation to supply of Products (*defined below*) by JAPL to the Customer.

NOW, THEREFORE, in consideration of the mutual agreements herein contained and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the Parties hereby agree as follows:

1. DEFINITIONS AND INTERPRETATIONS

1.1. Definitions

In these presents unless there is anything in the subject or context inconsistent therewith, the capitalised terms listed below shall have the following meanings:

1.1.1. "**Affiliate**" with respect to a Person means any Person, directly or indirectly controlling, controlled by, or under common control with, such Person.

1.1.2. "**Agreed Price**" is the price that the Customer will pay for the Product.

1.1.3. "**Applicable Law**" means any statute, national, state, provincial, local, municipal, foreign, international, multinational or other law, treaty, code, regulation, ordinance, rule, judgment, order, decree, bye-law, approval of any Governmental Agency, directive, guideline, policy, requirement or other governmental restriction or any similar form of decision of or determination by, or any interpretation or administration having the force of law of any of the foregoing by any Governmental Authority, statutory authority, tribunal, board, court having jurisdiction over the matter in question, whether in effect as of the date of this Agreement or at any time thereafter.

1.1.4. "**Affiliate**" means, in relation to any person (other than a limited partnership), any other person, directly or indirectly through one or more intermediaries, controlling or controlled by or under common control with, such first-mentioned person, or in the case of a person which is a limited partnership, the partners of the person or their nominees or a nominee or trustee for the person, or any investors in a fund which holds interests, directly or indirectly, in the limited partnership or any entity which manages, advises and/or controls any such entity.

1.1.5. "**Background IP**" means all intellectual property rights related to the Products, (a) controlled by a Party as of the Effective Date or (b) controlled by a Party at any time after the Effective Date and which is developed or acquired by such Party independent of this Agreement.

1.1.6. "**Business Day**" means a day (other than a Saturday, Sunday or public holiday) on which banks are open for general business in India, and (in relation to any date for payment or purchase of a currency) the principal financial centre of the country of that currency.

1.1.7. "**Change in Law**" shall have the same meaning as ascribed to it in Clause 17 hereof.

1.1.8. "**Effective Date**" means the date of signing of this Agreement.

1.1.9. "**End Use Certificate or End User Certificate**" means a certificate duly completed and signed in compliance with the Applicable Law as appropriate and may be required to support the application for an export licence in country of export of Products.[2]

1.1.10. "**Financial Year or FY**" means the period commencing from and including 1 April in any calendar year to and including 31 March in the immediately succeeding calendar year.

1.1.11. "**Force Majeure Event**" shall have the same meaning as ascribed to it in Clause 18 hereof.

1.1.12. "**Foreground IP**" means all intellectual property rights related to the Products, developed, invented, conceived, generated, first actually reduced to practice, or otherwise made by or on behalf of either of the Parties), whether independently or jointly, in the performance of this Agreement;

1.1.13. "**Governmental Approval**" means any consent, whether by way of license or otherwise, with or to any Governmental Authority.

1.1.14. "**Governmental Authority**" shall mean any government (foreign, domestic, multinational, federal, territorial, state, municipal or local), or any governmental, non-governmental, legislative, executive, administrative, fiscal, judicial, quasi-judicial or regulatory authority, government-owned or government-controlled (in whole or in part) enterprise, public international organisation, body, board, bureau, ministry, department, commission, court, tribunal, agency, instrumentality or other Person exercising legislative, executive, administrative, fiscal, judicial or regulatory functions (including planning authorities, mediators or arbitrators of competent jurisdiction), having jurisdiction over the matter in question, in any jurisdiction or political sub-division (as the case may be).

1.1.15. "**Intellectual Property Rights**"/ "**IP**" means all patent rights, copyrights, trademark rights, rights in trade secrets (if any), design rights, database rights, domain name rights, moral rights, and any other intellectual property rights (registered or unregistered) throughout the world.

1.1.16. "**Invoice**" or "**Tax Invoice**" shall mean the invoice issued by JAPL against which payment will require to made by the Customer as prescribed under Clause 8.10 against each delivery made to the Customer during the Term;

1.1.17. "**Loss**" or "**Losses**" shall mean all direct and actual losses, liabilities, obligations, demands, actions, statutory penalties, fines, costs, expenses, settlements, Taxes, damages (whether or not resulting from third party claims and including all reasonable actual costs and expenses), payments required to be made under actions, suits, orders, verdicts, judgments, decrees or other directions of any Governmental Authority including, in each case, interests and penalties with respect thereto and out-of-pocket expenses on actuals, including reasonable attorneys' fees and disbursements, amounts paid in settlement and court costs.

1.1.18. "**Vendor**" shall mean any entity from which JAPL will source, import or procure the Products.

1.1.19. "**Minimum Purchase Obligations**" shall have the same meaning as ascribed to it in Clause 4 hereof.

1.1.20. **"Non-confirming Products"** means any Products that: (a) has been rejected and/or returned by the Customer as per the terms hereof; (b) has not been rectified to the satisfaction of the Customer; (c) are not approved by the Customer; (d) has any defect; and (e) is not in compliance with the terms of this Agreement or Law.

1.1.21. **"Other Charges"** means any governmental charges, fees, fines, interest or other penalties whatsoever assessed, other than Taxes.

1.1.22. "**Person**" shall mean any natural person, firm, corporation, limited company, private limited company, limited liability company, Government Authority, joint venture, general or limited partnership, trust, association or other entity (whether or not having separate legal personality) and shall include any legal personal representatives, successors (by merger or otherwise) and permitted assigns of such entity.

1.1.23. "**Proforma Invoice**" shall mean the tentative invoice issued by JAPL to the Customer against each PO issued by the Customer as prescribed under Clause 3 during the Term.

1.1.24. "**PO**" means a purchase order issued in writing by the Customer to JAPL specifying, *inter alia*, the details and quantity of the Products, Product prices, Product specifications, Product codes, timelines for delivery of the Products, designated place of delivery, etc.

1.1.25. "**Postground IP**" means all intellectual property rights related to the Products developed, invented, conceived, generated, first actually reduced to practice or otherwise acquired by the Vendor, post manufacture of Products, including IP developed by the Vendor of Products based on IP licensed from the Customer.

1.1.26. "**Prices**" means the prices of the Products mutually agreed between the Parties and specified in the Proforma Invoice, subject to any change that may be mutually agreed, in writing, between the Parties.

1.1.27. **"Products"** means the products as set out in **Schedule – A**, as amended from time to time, by the Parties or stated by the Customer in PO, which are to be procured and supplied by the Company as per the terms and conditions of this Agreement.

1.1.28. "**Product's Life or Products' Life**" shall mean the time period prescribed in **Schedule – A** to this Agreement.

1.1.29. "**Quality Control Tests**" means tests and procedures for examining and controlling the quality of the Products, details of which to be set out in **Schedule – B**.

1.1.30. "**Side Ground IP**" means information, other than Foreground IP or Background IP and includes any IP developed, invented, conceived, generated, first actually reduced to practice or otherwise acquired by JAPL in course of undertaking the present Agreement, but it is not needed for the manufacturing of the Product executed under this Agreement.

1.1.31. "**Taxes**" shall mean any central, state, municipal, local, and other taxes, duties, levies, cess, assessments, charges, fees and impositions or other similar imposts by whatever name called, whether in the nature of indirect or direct tax, including, but not limited to, income taxes, withholding taxes, Goods & Services Tax ("**GST**"), Excise duty, all duties of Customs, assessments, ad valorem taxes, stamp and documentary taxes or any other governmental charges and fees.

1.1.32. "**Technical Specification**" shall mean the Product specifications prescribed in **Schedule - A** to this Agreement.

1.1.33. "**Term**" shall have the same meaning as ascribed to it in Clause 2 hereof.

1.1.34. "**Warranty Period**" shall mean the time period prescribed in **Schedule – A** to this Agreement.

1.2. **Interpretation:**

Unless otherwise expressly provided or the context otherwise requires, for purposes of this Agreement, the following rules of interpretation apply:

1.2.1. In addition to the above terms, certain terms may be defined in the recitals or elsewhere in this Agreement and wherever, such terms are used in this Agreement, they shall have the meaning so assigned to them.

1.2.2. Words denoting the singular shall include the plural and words denoting any gender shall include all genders.

1.2.3. The words "include" and "including" are to be construed without limitation.

1.2.4. Headings, sub-headings, titles, subtitles to clauses/articles, sub-clauses/sub-articles and paragraphs are for information only and shall not form part of the operative provisions of this Agreement or the annexures hereto and shall be ignored in construing the same.

1.2.5. Reference to statutory provisions shall be construed as meaning and including references also to any amendment or re-enactment (whether before or after the Execution Date) for the time being in force and to all statutory instruments or orders made pursuant to such statutory provisions and all delegated legislation made pursuant to such statutory provision.

1.2.6. The recitals and Exhibits to this Agreement form an integral part of this Agreement.

1.2.7. Any reference to a document in the "agreed form" is to the form of the relevant document agreed between the Parties and for the purpose of identification initiated by each of them or on their behalf (in each such case with such amendments as may be agreed by or on behalf of the Parties).

1.2.8. The terms "hereby," "herein," "hereinafter," "hereof", "hereto" and "hereunder" and derivative or similar words refer to this Agreement as a whole or specified Clauses of this Agreement, as the context may require.

1.2.9. The expression "this Clause" shall unless followed by reference to a specific provision, be deemed to refer to the whole Clause (and not merely the sub-clause/article, paragraph or other provision) in which the expression occurs.

1.2.10. Reference to any Applicable Law or to any provision thereof shall include references to any such Applicable Law as it may, after the Effective Date, from time-to-time, be amended, supplemented or re-enacted, and any reference to statutory provision shall include any subordinate legislation made from time-to-time under that provision except to the extent that any amendment or modification made after the Effective Date would increase any liability or impose any new or additional obligation, under or pursuant to this Agreement.

1.2.11. When any number of days is prescribed in this Agreement, the same shall be reckoned exclusively of the first and inclusively of the last day, if the date on or by which any act must be done under this Agreement is not a Business Day, the act must be done on or by the next Business Day.

1.2.12. Reference to "consent" or "approval" shall mean prior written consent or approval.

1.2.13. Time is of the essence in the performance of the Parties' respective obligations and, therefore, if any time-period specified herein is extended, such extended time shall also be of the essence.

1.2.14. Any reference to "writing" shall include printing, typing, lithography, transmission by facsimile or electronic form (including e-mail) and other means of reproducing words in visible form but shall exclude short messaging service and other forms of instant messaging.

2. EFFECTIVE DATE AND TERM

2.1. This Agreement shall be effective from the date of signing by both Parties till ([Date]) [•] years, unless terminated earlier in accordance with Clause 23 of this Agreement.

2.2. This Agreement may be renewed on mutual terms and conditions as may be agreed between the Parties in writing, no later than three (3) months prior to the expiration of the Term of this Agreement.

2.3. If no agreement to extend the Term is made prior to the expiration of the Term, this Agreement shall expire without any further notice at the end of the Term.

3. SALE AND PURCHASE OF PRODUCTS

3.1. JAPL agrees to source the Products from the Vendor and supply to the Customer, as per the Technical Specifications provided by the Customer. The Customer acknowledges that JAPL is not the manufacturer and does not guarantee supply of all Product(s) required by the Customer or performance thereof as per the Technical Specifications, which shall be sole responsibility of the Vendor.

3.2. The Parties agree that the supply of the Product shall be undertaken as follows:

3.2.1. The Customer will raise a PO at least forty-five (45) days prior to expected delivery date, unless otherwise agreed and communicated in writing by JAPL, at its sole discretion.

3.2.2. JAPL shall confirm the acceptance of the PO by issuing a Proforma Invoice within two (2) Business Days from the date of receipt of the PO.

3.2.3. The Customer may amend the PO any time before the confirmation thereof by JAPL and acceptance thereof shall be governed in accordance with Clause 3.2.2 above. Any change or amendment to the PO post issuance of Proforma Invoice, may be accepted by JAPL at its sole discretion and would be confirmed only upon issuance of a fresh Proforma Invoice by JAPL. It is agreed that any amendments to the PO would be subject to Clause 6 and Clause 10 of this Agreement.

3.2.4. JAPL, subject to the Force Majeure events discussed in Clause 18 hereof, undertakes to provide a delivery schedule for the Product to the Customer within thirty (30) Business Days, basis which the Payments (as agreed in Clause 10 hereof) shall be processed by the Customer.

4. EXCLUSIVITY AND MINIMUM PURCHASE OBLIGATIONS

4.1. The Customer agrees and acknowledges that the Company is procuring the Products, as per the Technical Specifications, exclusively for the Customer, and the viability of the Products sourced by the Company (in terms of the product sourcing agreement executed by Company with the Vendor) depends on the assurance of purchase of Products by Customer to the Company. Subject to the production capability of the Vendor and clause 19 (*Force Majeure Event*), the Customer hereby agrees to abide by the minimum purchase obligations ("**Minimum Purchase Obligations**") as set out in **Schedule – C**.

4.2. Without prejudice to the above, in case of Vendor's inability to supply the minimum units of the Product to JAPL and acceptance thereof by JAPL which shall be communicated in writing by JAPL to the Customer, it shall be deemed as Customer having fulfilled its Minimum Purchase Obligation for the said PO.

4.3. It is agreed that any failure on part of JAPL to supply the minimum units of Product(s) on account of Vendor's inability to supply the same to JAPL shall constitute breach of this Agreement.

4.4. Notwithstanding the right to claim damages under this Agreement, it is agreed that failure to lift the minimum purchase obligations under Clause 4.1 (*Minimum Purchase Obligations*) will entitle the Company to receive full consideration for outstanding quantity(ies).

5. FORECAST

5.1. The Customer shall provide, for JAPL's convenience, planning and effective delivery of the Product, the following tentative forecasts:

5.1.1. Initial Forecast: On the Effective Date, the Customer shall provide a written forecast of the quantity of Product(s) that it desires to purchase in each month / quarter during the first Financial Year.

5.1.2. Subsequent Forecast(s): By 31 December of the first Financial Year or 31 December of every succeeding Financial Year thereafter, the Customer shall provide a written forecast of the quantity of the Product that it desires to purchase from JAPL on a monthly basis during the 12 (twelve) month period commencing from April up to the last date of March of the immediately succeeding Financial Year.

6. FORFEITURE / REFUND / ADJUSTMENT OF SECURITY DEPOSIT

6.1. Security Deposit

The Parties agree that the Customer shall pay a sum of INR [*] (Indian Rupees [*] only) as a refundable and non-interest-bearing security deposit ("**Security Deposit**") upon signing of this Agreement, in the bank account designated or communicated by the Company in writing ("**Company Bank Account**").

6.2. Forfeiture of the Security Deposit

The Parties agree that notwithstanding anything contained herein, if the Customer cancels any PO or fails to complete the purchase of the Product(s), the Company shall adjust 100% (one hundred per cent) of the PO value from the Security Deposit and the same shall stand forfeited. The balance Security Deposit, if any, shall be adjusted by JAPL against any damages under this Agreement.

6.3. Adjustment / Refund of the Security Deposit

6.3.1. The Parties agree that if:

(a) the Company receives the complete Price from the Customer upon the delivery of the Products pursuant to first three POs, the Company agrees to adjust 100% (one hundred per cent) of the Security Deposit available with JAPL against the subsequent PO of the Customer.

(b) JAPL in its sole discretion, communicated in writing, may agree to refund the security deposit and not adjust the same, by way of depositing the amount of Security deposit to the Bank Account as may be designated by the Customer in writing ("**Customer Bank Account**"). Any such refund shall be subject to adjustments, if any, of outstanding amounts due from the Customer; or

(c) the Customer (at his sole option and discretion) may seek, in writing ("**Security Deposit Notice**"), adjustment of security deposit against any PO subject to JAPL's discretion. Notwithstanding the above, no adjustment shall be applied or confirmed prior to settlement or receipt of 100% (one hundred per cent) payments for the first three POs by JAPL.

(d) The Company is unable to supply the Product(s) to the Customer within the agreed timelines and extension thereof, then the Company shall refund 100% (one hundred per cent) of the Security Deposit to the Customer.

6.4. The Parties have agreed that upon forfeiture of Security Deposit in accordance with Clause 6.2 above, this Agreement shall automatically stand terminated without any further action by either Party. Further, in case of termination of this Agreement pursuant to this Clause, the Parties hereby agree and declare that JAPL shall have the right to seek specific performance and / or any additional monetary relief under this Agreement and / or under Applicable Laws.

6.5. Notwithstanding the foregoing sub – clauses, JAPL may waive the requirement of Security Deposit under this Agreement at its sole discretion.

7. PRICE

7.1. JAPL accepts to supply the Product(s) for the period of supply at Price, with no escalation, except for any change in currency rate or quantity of Product(s), for at least six months from the date of Proforma Invoice. Any change in the Price, post such period shall be mutually agreed in writing, between JAPL and the Customer.

7.2. The Price shall be full and complete payment for discharge of JAPL's performance of its obligations under this Agreement and will include all costs necessary for transport and delivery of the Product to the Customer. For the removal of doubt, it is clarified that Price includes all direct, indirect and ancillary charges, costs, expenses, commissions, and Taxes, excluding GST, where applicable.

7.3. The title in the Product shall transfer from JAPL to the Customer on delivery at Customer's designated premises and subject to acceptance by the Customer as provided under Clause 8 hereof.

8. DELIVERY OF PRODUCTS

8.1. JAPL shall supply the Product ordered by the Customer on the tentative delivery date specified in the relevant Proforma Invoice.

8.2. The date of delivery of the Products to the Customer at their designated or communicated premises, shall be considered as the date of delivery to the Customer. The Products shall be delivered on Ex-Works basis through sea / airport, according to the latest version of International Commercial Terms 2020 ("**INCOTERMS 2020**").

8.3. The Customer shall be responsible to provide all the necessary documents (including but not limited to information and documents for claiming any concessional or beneficial customs duty rates, importing the Products for licensed manufacturing process, End User Certificate etc) required to export the Products from country of export and import the Products into India. The Customer shall ensure, in consultation with JAPL, that the import documentation submitted in India is correct and accurate.

8.4. JAPL or its Vendor, shall be responsible for securing and complying with all export licences, security or customs clearances and other regulatory requirements necessary in connection with the export of any Product from its country of manufacture / export to India in accordance with the stated INCOTERMs, and for the payment of all charges, duties and taxes arising from or associated with such exportation in accordance with the stated INCOTERMs and the terms of this Agreement.

8.5. The Parties acknowledge that the Customer shall be responsible for securing all licences, security or customs clearances and other regulatory requirements necessary in connection with the importation of Product into India, and bear the payment of all charges, duties and taxes arising from or associated with such importation in India. The Customer shall be responsible for providing to JAPL all necessary information and documents that JAPL may require, to enable it to secure any such licences, clearances and other requirements.

8.6. The Customer acknowledges and agrees that any Government Approval, license, registration or permission obtained by JAPL for sourcing the Products are non-transferable and the Customer cannot any right over such license nor JAPL is under any obligation to transfer such license, in any manner whatsoever, at any time during the term or post termination this Agreement.

8.7. JAPL shall not be responsible for any delays, arising due to any default in import compliances by the Customer under the laws of India or any demurrage charges incurred due to late submission or incorrect submission of the import related documents by the Customer either directly or to JAPL. The Customer agrees that all such demurrage or Other Charges incurred by JAPL shall be borne and paid by the Customer. The Customer undertakes that it shall submit documentary proof to the satisfaction of JAPL, of having incurred and paid such demurrage or Other Charges.

8.8. JAPL shall not be responsible for delays arising due to its failure to follow export licence procedures or arising from inaccuracy in export / shipping documentation by the Vendor under the laws of exporting country, or any demurrage charges incurred by the port or ultimate consignee due to late submission or incorrect submission of the shipping documents by the Vendor (specified to be supplied by the JAPL under this Agreement). The Parties agrees that all such demurrage or Other Charges incurred, if any, shall be borne as per the mutual agreement between the Parties.

8.9. The JAPL will keep and maintain with itself all relevant documents and records in relation to the procurement of the Products and all the transactions contemplated under this Agreement in accordance with the Applicable Laws.

8.10. The Parties shall ensure that delivery of the Products to the Customer under this Agreement shall *inter alia* be accompanied with following documents:

8.10.1. Where applicable, a tax invoice in accordance with the provisions of Applicable Laws, which amongst other things, shall provide the following information:

a. Name, GSTIN and registered address of JAPL;
b. Name, GSTIN and registered address of the Customer;
c. Number and date of issuance of invoice;
d. HSN (Harmonized System for Numbering) Code;
e. Quantity of Product supplied;
f. Applicable Price;
g. Rate and amount of GST;

h. Place of supply; and
i. Signature / digital signature of JAPL's authorised signatory.
j. Certificate of Import Exporter Code, if required.

8.10.2. E-Way bill, if required.

8.10.3. Any other stipulation provided under the Central Goods and Services Tax Act, 2017 and rules issued thereunder. Approved

8.11. In the event the JAPL is unable to or fails to deliver the Product on the agreed date, JAPL will immediately inform the Customer of the expected extended delivery date and the reason for such delay. Provided, further, in the event the JAPL is unable to or fails to deliver the Product within a month from the originally agreed delivery date, the Customer would be eligible to avail a discount up to three (3) % of the total value of the Proforma Invoice (excluding any Taxes).

8.12. For avoidance of doubt, it is hereby clarified that delay in delivery of Products in accordance with this Clause shall in no manner affect or impact the Parties' rights and obligations under any other PO issued by the Customer.

9. ACCEPTANCE

9.1. Customer shall not later than [•] ([• *in words*) Business Days from the delivery of the Product:

9.1.1. Inspect the Product for any visible damage or shortfall in quantity; and

9.1.2. Communicate such damage or shortfall to the Vendor.

9.2. In case of no such communication by JAPL within the timelines provided in Clause 9.1 above, the quantity of the Product(s) would be deemed to be accepted by the Customer in respect of the visible damage or quantity.

10. PAYMENT TERMS

10.1. The Customer agrees to make the payment of the Price of the Product as per schedule of payment ("**Schedule of Payment**") set out in **Schedule – D**.

10.2. Without prejudice to claims under Clause 6 (*Security Deposit*) and in addition thereto, in the event Customer cancels/ amends the PO to reduce the quantity of Products, any time after the issuance of Proforma Invoice by JAPL, JAPL would be entitled to recover additional amount up to 10% of the landing cost of the Product(s) from the Customer and the Customer shall not have the right to claim such amount from JAPL.

10.3. In case JAPL is required to pay any Taxes in India on the supply or transportation of the Products in India and the same shall be borne by the Customer.

10.4. The Customer shall not deduct any monies from any amounts due to JAPL towards supply of Products either as Taxes (except applicable withholding taxes in India) or Other Charges, unless otherwise agreed and the Price payable for the Products shall be net of all Taxes and Other Charges, except applicable withholding tax in India.

11. QUALITY CONTROL

11.1. JAPL, to the best of its abilities, will procure the Products in accordance with the Technical Specifications, free of any defect or damage including any defects which may not be apparent upon undertaking a reasonable examination of the Product in connection with the manufacture, quality control, quality assurance, transportation and storage ("**Defects**"); and compliant with Applicable Laws.

11.2. The Customer at its own cost and expense may conduct all quality control and other tests, as may be required to ensure and confirm that the Product meet the Technical Specifications provided by the Customer within 15 (fifteen) days from the date of delivery of a consignment of Product(s). In case such assessments are undertaken by the Customer, it shall provide a certificate of analysis with complete details of the testing procedure and results therefor to JAPL.

11.3. The Customer agrees that information regarding the Product with Defects must be notified to JAPL within 15 (fifteen) days, in writing *via* email, from the date of delivery of a consignment of Product(s). In such case, the Customer shall facilitate the examination of such Product by JAPL and/ or the Vendor.

11.4. Upon examination, if the Product is found to be defective upon inspection by JAPL and/ or Vendor, then JAPL may facilitate replacement or return of such Product by the Vendor.

11.5. The Parties hereby agrees and acknowledges that JAPL shall neither be responsible nor can be held liable for any defect in the Product or non-conformity thereof to the Technical Specifications. Such claims, if any, raised by the Customer shall be the sole responsibility of the Vendor and JAPL shall not incur any liability or responsibility in this regard. In the event, the Customer rejects the Product or requests for replacement and/ or replacement thereof, JAPL shall despatch the Product to the Vendor at the sole risk and costs of the Customer.

11.6. The Customer further agrees that any costs which may be incurred by JAPL in replacement/ returning such Products to the Vendor shall be reimbursed by the Customer to JAPL within fifteen (15) days of the JAPL receiving the Products from the Customer.

11.7. The Parties hereby acknowledges and agree that any product liability claims in relation to the Products raised by any third-party, shall be the sole responsibility of the Vendor and/ or the Customer, and JAPL shall not incur any liability or responsibility in this regard.

12. TECHNICAL SUPPORT

12.1. The Parties acknowledge and agree for a period starting from the delivery of Product till the end of the Product's Life, JAPL may facilitate the Customer to receive necessary and timely on – call technical support requested by the Customer *via* any online channel (including but not limited to WhatsApp etc.) or on-site assistance in relation to the Product.

12.2. Any training, on-call and on-site support, spare parts, consumables and repairs provided by the Vendor (or its authorised representatives, dealers, service providers etc) beyond the Warranty Period or beyond the scope of Proforma Invoice issued hereunder, shall be chargeable to the Customer in addition to the Total Agreement Price and as may be mutually agreed between the Vendor and the Customer.

12.3. It is agreed that JAPL will support the Customer on best effort basis, but the obligation under this Clause 12 (*Technical Support*) will be of the Vendor and the Customer shall not bring any dispute against JAPL for any failure on part of the Vendor.

13. INTELLECTUAL PROPERTY

13.1. The Customer agrees that nothing in this Agreement shall alter the Vendor's (or any of its subcontractors) ownership of, and other rights to, its Background IP and the Customer shall not acquire through this Agreement any right, title or interest in any of Vendor's Background IP.

13.2. All Foreground IP developed by the Vendor in furtherance of this Agreement, including IP in software, product packaging or design made available by the Customer to JAPL or the Vendor, shall immediately vest upon its creation to the Customer.

13.3. All Post Ground IP generated exclusively by the Customer during the Agreement, other than software developed by a third parties employed by the Customer, to remain the property of the Customer.

13.4. The Customer shall not have any right to any Side Ground IP generated solely by the Vendor.

13.5. Each Party grants the other, the right to use its intellectual property, including its' brand name or trademarks for the purpose of allowing the other Party to achieve its obligations associated with this Agreement, and/ or limited marketing purposes; and such right terminates upon termination, or expiration of the Agreement.

13.6. The Parties warrant that to the best of their knowledge, neither Party shall use, exploit, enjoy and infringe the Intellectual Property Rights of each other or any third party beyond the terms of the license granted in accordance with the sub – clauses hereinabove.

13.7. In the event any Intellectual Property Right claim is brought to the attention of either Party, that Party shall:

13.7.1. promptly notify the other Party in writing of the Intellectual Property Right claim;

13.7.2. not make any admission as to the liability or agree to any settlement or compromise any Intellectual Property Right claim, without first consulting the other Party; and

13.7.3. provide the other Party, at the other Party's cost, with all assistance that the other Party may reasonably require to negotiate or defend any Intellectual Property Right claim.

13.8. Without prejudice to above sub-clauses, in the event that the use, exploitation, enjoyment of or any other dealings is held to infringe, any third-party Intellectual Property Rights, then the infringing Party shall at its own expense and to the extent reasonably possible:

13.8.1. Procure for the other Party the right to continue to use; or

13.8.2. Deal with such Product in question, free of any liability for any infringement;

13.8.3. Substitute the infringing Product(s) in question with functionally equivalent non-infringing Product(s), which comply with the requirements of this Agreement.

13.8.4. In the event that the Vendor has discontinued the supply or support of the Products, or is unwilling or unable to continue to supply and support the Customer, in accordance with the provisions of the Agreement, then the Customer can, through JAPL, request the Vendor to grant the license and the Vendor on consideration of such request by the Customer and subject to export control approvals, grant JAPL a license to sub-license to the Customer, a non-exclusive, specifically defined, irrevocable, time bound licence without any licence fees (with no further rights to grant sub-licences) to use, incorporate and otherwise deal with the Intellectual Property Rights in such Products.

14. PACKAGING AND LABELLING

14.1. The Parties hereby acknowledge and agree that the Product(s) supplied by the Vendor and JAPL may re-packaged the same in different packaging, in accordance with Applicable Laws and instructions given by the Customer.

14.2. The Parties agree that any Product that is redesigned or reinvented by the Customer, upon written intimation to the JAPL, may be labelled with declaration manufactured by [•] and/ or designed by [•] on its packaging at the sole cost and responsibility of the Customer.

15. NON-COMPETE

15.1. The Parties acknowledges and affirms that by virtue of this Agreement it shall have access to trade secrets, strategic information, supplier information and related confidential information and shall have dealings with customers, distributors, logistics partners and suppliers of the Company. In order to protect above mentioned information, the Customer agrees to be bound by the non-compete and non-solicitation restrictions as set out below.

15.2. The Customer agrees that during the Term and for a period of 24 (twenty-four) months immediately following the termination of this Agreement ("**Cooling-off Period**"), the Customer shall not, whether directly or indirectly, or engage in any business activity which is similar to that of the business of the Company or have any controlling interest in any entity that markets, promotes, sells or provides any product or service which is engaged in the business of similar nature as that of the Company or invest or engage in any manner whatsoever in a business that is directly or indirectly in competition with or similar to the business of the Company including any overseas enterprise that has substantial business presence in the Territory.

15.3. The Customer agrees and undertakes that on and from the Effective Date and until end of the Term of the present Agreement, it shall not procure directly or indirectly bid, sale, supply or solicit the sale of Products in China or from the any of the Vendor(s) contracted by JAPL and its Affiliates.

15.4. During the Term and for the Cooling-off Period, the Customer shall not either directly or indirectly solicit, induce, recruit, or encourage any of Company's employees or consultants to leave their employment, or take away such employees, or attempt to solicit, induce, recruit, encourage or take away, customers or clients, existing or potential, of Company, either for itself or for any other person or entity.

15.5. The restrictions contained in this Agreement are reasonable and justified and are not greater than necessary for the legitimate preservation of the value and protection of the business, goodwill and/or other interests of the Company. In the event that any of the restrictions contained in Clause 15 are rendered void but would be valid if some part thereof would be deleted or the scope, period or area of application were reduced, the above restriction shall apply with the deletion of such words or such reduction of scope, period or area of application as may be required to make the restrictions contained in Clause 15 valid and effective.

16. CONFIDENTIALITY

16.1. Each Party:

16.1.1. shall treat as strictly confidential the fact that this Agreement has been entered into, the provisions of this Agreement and the process of its negotiation and all information about the other Party (or any of its affiliates) obtained or received or accessed to it as a result of negotiating, entering into or performing its obligations under this Agreement and includes the Price and information pertaining to Product and associated technology, software, accessories etc developed and owned by the Vendor or the Customer ("**Confidential Information**"); and

16.1.2. shall not, except with the prior written consent of the other Party, make use of (save for the purposes of performing its obligations under this Agreement) or disclose to any Person any Confidential Information.

16.2. For Confidential Information pertaining to the Product, Parties undertake to maintain secrecy of the commercial and technical information as well as of any other information exchanged before or during or after the term of this Agreement, and shall provide the same care as it provides to protect its own Confidential Information, including but not limited to the information contained in any of the documents exchanged between the Parties and any information and of any knowledge gained of fundamentals, functions, production, manufacturing, new development, improvement and any other detail regarding the operations affecting the manufacture of Product and parts, components, software thereof.

16.3. Permitted disclosure or use:

16.3.1. Each Party may disclose the Confidential Information to its directors, officers, advisors, deputed personnel and/or employees to the extent that it is necessary for the purposes of this Agreement ("**Recipient**").

16.3.2. Both Parties undertake to exercise all necessary efforts to ensure that the duty of confidentiality laid down in this Agreement are observed by its directors, officers, advisors, deputed personnel and/or employees. Both Parties shall be responsible for any breach of confidentiality or any misuse of the Confidential Information by any person who is related or is under the control or management of the Parties or any other party to whom JAPL or the Customer as the case may be, has directly or indirectly disclosed the Confidential Information. Any breach of confidentiality as provided above, shall not absolve a Party from any liability under this Agreement.

16.3.3. The Party shall ensure that each Recipient is made aware of and complies with all the Party's obligations of confidentiality under this Agreement as if the Recipient was a party to this Agreement.

16.3.4. The obligations of confidence in Clause 16.1 above shall not prevent a Party ("**Disclosing Party**") from using and disclosing information which the Disclosing Party can demonstrate, to the reasonable satisfaction of the other Party ("**Owning Party**"):

a. was received by the Disclosing Party from a third party without that third party having breached any obligation of confidence to the Owning Party; or
b. is already in the public domain through no fault of the Disclosing Party.

16.3.5. Clause 16.1 shall not apply to a disclosure of Confidential Information by a Party if:

16.3.6. such disclosure is required by Applicable Law or is required or requested by any supervisory, regulatory or governmental body having jurisdiction over it, and whether or not the requirement or request has the force of law, provided that the Party subject to such requirement shall (to the extent legally permissible) promptly notify the other Party concerned that the requirement has arisen in order to allow it to take any available action to prevent such disclosure, but failing such prevention, the notifying Party shall use its reasonable endeavours to obtain confidential treatment of the information concerned;

16.3.7. such disclosure by a Party is to its actual or prospective creditors (or any class thereof) or sureties is in connection with any financing, refinancing, rescheduling or restructuring of the indebtedness of that Party or any of its Affiliates; or

16.3.8. such disclosure is to its auditors and professional advisors in relation to the negotiation, entry into, or performance of this Agreement or any matter arising out of the same.

16.4. The Parties acknowledge and agree that the covenants and obligations with respect to confidentiality as set forth above relate to special, unique and extraordinary matters, and that a violation of any of the terms of such covenants and obligations will cause the other Party irreparable injury for which monetary damages may not be a sufficient remedy. Therefore, it is agreed that the aggrieved Party shall be entitled to an interim injunction, restraining order or such other equitable relief as a court of competent jurisdiction may deem necessary or appropriate to restrain the other Party from committing any violation of the covenants and obligations contained in this Article. These injunctive remedies are cumulative and are in addition to any other rights and remedies that the aggrieved Party may have under this Agreement under Applicable Laws or in equity.

16.5. Data Storage: Both Parties shall not at any time, during or after the term of this Agreement, or allow any other person or entity to store, any of the Confidential Information on any server, storage device or media which is:

16.5.1. accessible to either (i) the public or (ii) to persons or entities who do not have to know such Confidential Information for the performance of this Agreement (which shall include but is not limited to any publishing on the internet); or

16.5.2. legally accessible to (i) internet search engine software or (ii) persons or entities other than those entitled to receive such information according to this Agreement.

16.6. Return of Confidential Information: Upon termination of this Agreement or upon a written request made by the Owning Party, the Recipient shall:

16.6.1. return the Confidential Information immediately without any delay, protest or demur;

16.6.2. return or, if requested by the Owning Party or if not capable of being returned, destroy or erase all documents and materials containing (in whatever form) any Confidential Information immediately and to the satisfaction of and provide the Owning Party with a certificate in writing that none of the Confidential Information has been retained, copied or multiplied in any form; and

16.6.3. destroy or erase all memoranda, notes and other permanent records (in whatever form) that are based in whole or in part on the Confidential Information and that have been prepared by it or on its behalf and provide to the Owning Party a certificate in writing that destruction has taken place,

16.7. Equitable Relief: Parties acknowledges that:

16.7.1. a breach of its obligations under this Clause would be harmful to the other party and/or its related bodies corporate, assigns or successors; and

16.7.2. monetary damages may not be a sufficient remedy for any breach by it under this Clause, and that the non-defaulting party shall be entitled to equitable relief, including injunction and specific performance, as a remedy for such breach.

16.8. Indemnities: Parties shall indemnify each other for all claims suffered or sustained by the non-defaulting Party as a consequence of any material breach of any of its obligations in this Clause. Each indemnity in this Clause is a continuing obligation, separate and independent from defaulting party other obligations and survives termination or expiry of this Agreement.

17. EXPORT CONTROL[3]

17.1. This Agreement is made subject to any restrictions concerning the export of Products, hardware, software or technical information / data from the exporting country that may be imposed on the Parties from time to time. Each Party agrees that it will not export, directly or indirectly, any products, hardware, software or technical information acquired from the other Party under this Agreement or any products using such technical information to a location or in a manner that at the time of export requires an export license or other governmental approval, without first obtaining the written consent to do so from the appropriate agency or governmental entity in accordance with the applicable law in the country where the agency or governmental entity is located.

17.2. JAPL and the Customer shall be jointly responsible for obtaining the appropriate export license or other governmental approval, if required, for the delivery of Products, hardware, software or technical information / data supplied under the Agreement, to the Republic of India.

17.3. In the event that an export licence or other governmental approval is not granted, and JAPL is unable to perform the Agreement due to non-approval of an export licence or government approval, the Agreement shall become null and void (except due to reason(s) attributable to the Customer) and JAPL will return the Security Deposit immediately.

17.4. In the event that an export licence or other governmental approval is not granted, and JAPL is unable to perform the Agreement due to the non-approval of an export licence or government approval, due to the reason(s) attributable to JAPL, then JAPL will return the Payments, if any, received from the Customer and subject to Clause 17.3 of this Agreement.

17.5. In the event that an export licence or other governmental approval is withdrawn, and JAPL is

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[3] ***KCO Comment:*** *To be retained in cases of supplies to customers governed under export control regime of exporting country.*

unable to perform the Agreement due to withdrawal of an export licence or government approval, then this shall be considered as a Force Majeure Event under Clause 19 of this Agreement.

18. CHANGE IN LAW

18.1. For the purpose of this Agreement, the term "**Change in Law**" shall mean the occurrence of any of the following events after the Effective Date:

18.1.1. the enactment, coming into effect, adoption, promulgation, amendment, modification or repeal (without re-enactment or consolidation) in India, of any Applicable Law, including rules and regulations framed pursuant to such Applicable Law;

18.1.2. a change in the interpretation of any Applicable Law by any Governmental Authority having the legal power to interpret or apply such Applicable Law;

18.1.3. the imposition of a requirement, for obtaining any applicable approval or permit for the performance of obligations hereunder, which was not required earlier;

18.1.4. any change in Taxes or introduction of any Taxes made applicable for performance of obligations by the Parties, as per the terms of this Agreement.

18.2. The Party affected by a Change in Law incident shall give written notice to the other party regarding such Change in Law incident and the impact of such Change in Law within 15 (fifteen) days of occurrence of such event.

18.3. Post the receipt of notice as per Clause 18.2 above, the Parties shall take all steps that may be reasonably required to comply with such Change in Law.

18.4. If Change in Law imposes additional financial burden on either Party or leads to any cost savings, then both Parties shall discuss the method of compensating the same including, any upward or downward adjustment in the price.

19. FORCE MAJEURE EVENT

19.1. For purposes of this Agreement, a *"Force Majeure Event*" shall mean the following circumstances if they impede the performance of the Agreement or make the performance unreasonably onerous:

19.1.1. acts of God or Nature;

19.1.2. accidents, fires, explosions;

19.1.3. natural disasters such as earthquakes, floods etc;

19.1.4. pandemics;

19.1.5. lockdown and other similar restrictions imposed by the Governmental Authority whereby the Factory / Facility is not permitted to be operated;

19.1.6. imposition of sanctions by the Office of the Foreign Assets Control, European Commission or Hong Kong Government on any entity with whom either Party has any business dealings or commercial arrangements in a manner such that the business dealing or commercial arrangement is covered under the provisions of the said sanctions;

19.1.7. acts of Governmental Authority or international organizations, trade embargoes;

19.1.8. war, acts of terror, political violence or sabotage in each case occurring inside or directly involving India; and

19.1.9. industrial disputes or strikes or any lockout prescribed by the professional representation body of workers across the industry or generalized labour action occurring within India or the country where the Products are manufactured, which is not reasonably within the powers of a Party to prevent;

19.2. It is clarified that the term "Force Majeure Event" shall not under any circumstances include the following events:

19.2.1. weather conditions which might reasonably have been foreseen by the Party claiming Force Majeure and which were not unusually adverse; or

19.2.2. strikes, industrial disputes or any lock out or other labour disturbances affecting only one of the Parties, its representative or its sub-contractors;

19.2.3. any acts or omissions by a Party or its sub-contractors;

19.2.4. economic or financial hardship of a Party;

19.2.5. shortages, late delivery or price fluctuations (including as a result of currency fluctuations) with respect to parts, materials, supplies or components of equipment or other works;

19.2.6. shortages of manpower; and

19.2.7. any unavailability of any Governmental Authority or delay in obtaining any approval / permit / sanction under the Applicable Law.

19.2.8. Geo-political conditions between the relevant countries not leading to circumstances highlighted in 19.1 above.

19.3. A Party affected by Force Majeure Event shall notify the other Party in writing of the occurrence of such Force Majeure Event within 30 (thirty) days of its occurrence. The notice should *inter-alia* contain the description of the Force Majeure Event and the effects of such Force Majeure Event on the Party, which is to be supported by authentic and verifiable evidence.

19.4. A reasonable duration during which the performance of obligations by the Party is affected by the Force Majeure Event, shall be excluded from the time specified for fulfilment of such obligations of the Party hereunder.

19.5. If Force Majeure Event continues beyond the period of 120 (one hundred and twenty) days from the beginning of the Force Majeure Event or prevents the Party from performing its obligations under the Agreement, the Parties shall mutually decide further course of action. If the mutual settlement cannot be arrived at within a period of 120 (one hundred and twenty) days, the Parties shall have the right to terminate this Agreement, by giving notice to the other and the Party shall be absolved from performing its obligations.

19.6. Upon the occurrence of any Force Majeure Event, each Party shall use all reasonable endeavours to continue to perform its obligations under the Agreement and to minimize the adverse effects of such circumstances.

20. SITE VISITS AND MEETINGS

20.1. The Parties may mutually agree to grant reasonable access to organise and hold quarterly visits to each other's premises for *inter alia,* discussions regarding new features, challenges and requirements in relation to the Product.

20.2. The Customer agree to facilitate the travel and accommodation requirements including VISA related formalities for authorised officials of the visiting entity at its location. Further, the costs related to such in-person meeting/ visits would be borne by the respective Parties.

20.3. JAPL would be entitled to attend such in-person meeting/ visits between the Vendor and the Customer.

21. REPRESENTATIONS AND WARRANTIES

21.1. Each Party represents and warrants as under:

21.1.1. it is a body corporate duly organised and validly existing under the territorial jurisdiction of its incorporation and has all requisite power and authority (whether statutory, governmental, legal or otherwise) to execute and deliver this Agreement, to exercise its rights and perform its obligations hereunder and to carry out the transactions contemplated hereunder;

21.1.2. all actions required to authorise execution and delivery by it have been duly taken, including but not limited to obtaining any necessary approvals and corporate consents, all of which are in full force and effect. All such actions required to authorise the performance of this Agreement by it has been duly taken;

21.1.3. the execution, delivery and performance of this Agreement and the transactions contemplated hereby do not and will not conflict with or contravene or result in a material breach of the provisions of any of its' constitutional documents or any other agreement or instrument by which it may be bound; and

21.1.4. all approvals, licenses, permissions required for carrying on its business in accordance with Applicable Law have been obtained.

21.2. Each Party represents and warrants that it is compliant with all the Applicable Laws which govern its ability to perform its obligations under the Agreement.

21.3. Each Party represents and warrants that neither the execution nor delivery of the Agreement by such Party, nor the consummation by such Party of any of the transactions contemplated hereby, requires the consent or approval of, the giving of notice to, the registration with, the recording or filing of any document with or the taking of any other action in respect of any authority having jurisdiction over such Party, except such as are not yet required, and such Party has no reason to believe that the same will not be readily obtainable in the ordinary course of business upon due application thereof, or which have been duly obtained and are in full force and effect.

21.4. Each Party represents and warrants that it has duly executed and delivered the Agreement, and assuming the due authorization, execution and delivery thereof, the Agreement constitutes (or when so executed and delivered will constitute) a valid and binding obligation of such Party enforceable against it in accordance with the terms hereof.

21.5. The Parties represents and warrants that it has knowledge of all legal requirements and business practices that must be followed in performing the obligations and the obligations will be in conformity with such requirements and practices and in compliance with all Applicable Laws.

22. INDEMNITY

22.1. The Customer agrees that JAPL shall not be responsible for the Products to comply under any laws in the territory of India. Any compliance with respect to registration, certification, testing and compliance with respect to the laws of India, shall be of the Customer exclusively, except as already mutually agreed in writing between the Parties.

22.2. Notwithstanding anything to the contrary, in no event as a result of this Agreement, shall JAPL be liable for any special, indirect, incidental, consequential, exemplary or punitive damages of any kind (including without limitation, loss of profits, business opportunities, revenue, loss of goodwill or reputation, loss of anticipated savings) arising out of or in connection with this Agreement, whether based in contract, tort (including without limitation negligence) or otherwise, even if the Customer has been advised of the possibility of such damages or should have reasonably foreseen such damages.

22.3. JAPL shall not have any liability to the Customer or any third party in India, arising out of or resulting from bodily injury, sickness, disease or death, or loss of, damage to or loss of use of property, wherever located, which is caused by, arises out of or results from anything in relation to the Products. Customer hereby waives all claims, defense and rights of recovery against the Customer (including Seller's personnel, representatives, subcontractors, suppliers and sub-suppliers) on account of any such bodily injury, sickness, disease, death, loss, damage and loss of use due the Products.

22.4. The Customer shall indemnify, defend and hold harmless JAPL and its directors, officers, employees, from and against all claims, actions, liabilities, losses, damages and expenses incurred, which arise out of or in connection with the Customer's breach of this Agreement, including without limitation any claim in respect of:

(a) Any incorrect, unauthorised or unlawful use of the Products;
(b) Any misrepresentation, negligence, fraud, wilful misconduct or breach of statutory duty by the Customer or its employees, directors, agents, suppliers, in or without collusion of the Vendor;
(c) Any breach by the Customer of its obligations under this Agreement;
(d) The failure by the Customer to accept delivery of the Products in accordance with the scheduled date(s) for delivery as per Clause 9.1 of this Agreement;
(e) The failure by the Customer to comply with any Applicable Laws in relation to the Products in India;
(f) The death of, or any personal injury, to any personnel whilst on or assigned to the Customer's or other third party's premises in relation to this Agreement.
(g) The breach by the Customer of any warranty or undertaking set out in Clause 18 of this Agreement;

(h) Any death or personal injury caused by the negligence of the Customer or its employees, agents, suppliers, sub-contractors, vendors while using the Product(s); and
(i) Claim by any third party for infringement of Intellectual Property Rights.

22.5. Without limiting in any manner its liabilities under this Agreement, the Customer shall obtain and maintain at its own expense a comprehensive policy or policies of insurance (including without limitation public liability and professional liability insurance) in respect of its liabilities arising under this Agreement.

22.6. This clause 22, shall survive the termination or expiry of this Agreement, for any reason.

22.7. Nothing contained in this Agreement shall exclude or in any way limit either Party's liability for:

(i) Fraud;
(ii) Death or personal injury caused by its own negligence;
(iii) Breach of terms regarding title; or
(iv) Any other liability to the extent that such liability may not be excluded or limited as a matter of Indian law.

23. GOVERNING LAW AND JURISDICTION

23.1. Governing Law:

23.1.1. This Agreement shall be governed by and construed in accordance with the laws of India.

23.2. Arbitration:

23.2.1. Any dispute arising out of or in connection with this Agreement, including any disputes regarding the existence, payment, validity or termination thereof, shall be referred to and finally resolved by arbitration in accordance with the provisions of the Arbitration and Conciliation Act, 1996. The place of arbitration shall be Bangalore, India.

23.2.2. The arbitral tribunal shall comprise of 1 (one) arbitrator mutually appointed by the Parties in accordance with this Clause.

OR {*To be mutually decided between the Parties*}

The arbitral tribunal shall consist of 3 (three) arbitrators, wherein each disputing Party shall be entitled to nominate 1 (one) arbitrator each, and the 2 (two) appointed arbitrators shall appoint a third arbitrator who shall be the presiding arbitrator.

23.2.3. The arbitration proceedings shall be conducted in **[•]** and the language of arbitration shall be English or any other language as may be mutually agreed between the Parties.

23.2.4. The arbitration proceedings provided hereunder are hereby declared to be self-executing, and it shall not be necessary to petition a court to compel arbitration. Each Party waives any objection it may now or hereafter have to the above venue and specifically waives any objection that any dispute resolved under this Clause 23.2 was brought in any inconvenient forum and agrees not to plead or claim the same.

23.2.5. The award rendered in any arbitration commenced hereunder shall be final and binding upon the Parties and not open to appeal. Each Party agrees that the award may be enforced in any court of competent jurisdiction. The Parties agree to share equally the cost of the arbitrator unless otherwise decided by the arbitral tribunal in its award, if any, on its allocation among the Parties of the costs, fees, and expenses related to the arbitration.

23.2.6. The Parties retain the right to seek injunctive relief or provisional remedies of any kind at any time from their respective territorial jurisdictional courts, if such injunctive relief or provisional remedies are appropriate and necessary due to the time-sensitive nature of the undertakings of the Parties pursuant to this Agreement.

23.3. Notwithstanding reference of any dispute to arbitration herein, Parties shall continue to perform their obligation under the Agreement, unless otherwise agreed by the Parties in writing.

24. TERMINATION

24.1. **Each Party shall be entitled to terminate this Agreement in the following circumstances:**

24.1.1. by mutual consent of the Parties; or

24.1.2. the other Parties has voluntarily commenced winding-up, bankruptcy, insolvency, stay, moratorium or similar debtor-relief proceedings, or have become insolvent; or

24.1.3. upon a material breach of any covenants, representation, warranty, or conditions, on part of the other Party, where such breach or failure to perform has not been cured (if curable) within 30 (thirty) days after receipt of written notice is given by the terminating Party; or

24.1.4. assignment or transfers of any of its obligations or any right or interest therein under this Agreement, without the prior written approval of the other Party; or

24.1.5. if a Party has engaged in corrupt, illegal, unlawful or fraudulent practices in competing for or in execution of the Agreement; or

24.1.6. if a Party abandons or repudiates the Agreement; or

24.1.7. if a Party is found to be in violation of Applicable Laws in relation to present Agreement; or

24.1.8. if it becomes illegal for a Party to transact with the other Party under Law; or

24.1.9. in the event, any Party becomes bankrupt or insolvent or compounds with its creditors, or, a resolution is passed, or order is made for its winding up, a receiver is appointed over any part of its undertaking or assets, or it takes or suffers any other analogous action in consequence of debt.

24.2. **Termination by JAPL**

24.2.1. JAPL may terminate the Agreement, if:

a. The Customer fails to pay for the Product procured within a specific period for in excess of three (3) months beyond the period of payment provided under the Agreement.

24.3. **Termination by the Customer**

24.3.1. The Customer may terminate the Agreement, if:

a. JAPL rejects Five (5) consecutive purchase orders; or

b. JAPL is unable to supply the Product for a continuous period of Twelve (12) months;

24.4. **Consequence of termination by either party:**

Upon receipt of the notice of termination under Article 24.1, 23.2 or 23.3, as the case may be, either immediately or upon such date as is specified in the notice of termination:

24.4.1. The Customer shall cease from issuing any new purchase order; and

24.4.2. Pay JAPL within sixty (60) days of receipt of notice of termination, for the Product received till date of such notice.

24.5. For the avoidance of doubt, it is expressly clarified that the covenants and obligations under Clause 1 (Definitions and Interpretation), Clause 16 (Confidentiality), Clause 21 (Representation & Warranties), Clause 22 (Indemnity), Clause 23 (Governing Law & Jurisdiction), Clause 24 (Termination), Clause 26 (Limitation of Liability) shall survive the termination of this Agreement.

25. CHANGES TO THE AGREEMENT

25.1. In the event, a Party requires change or modification or amendment of this Agreement, it shall immediately inform the other Party in writing.

25.2. Any change or modification or amendment shall not come into effect and shall not be binding until a written acceptance of the proposed change has been accepted by the Parties in writing.

25.3. Any change or modification or amendment of this Agreement shall also incorporate the consequence of the proposed change for the Parties.

26. LIMITATION OF LIABILITY

26.1. Except in case of fraud, gross negligence, wilful misconduct, illegal or unlawful acts or omissions, no Party shall be liable to the other for any indirect or consequential loss or damage, costs, expenses, or other claims for consequential compensation whatsoever or for any loss of profit, loss of business, or depletion of goodwill (howsoever caused) which arises out of or in connection with this Agreement.

26.2. The Parties acknowledges and agree that in the event of delay in supply of the Product or non-supply thereof, for any duration of time or quantity during the Term of the Agreement, the Customer will be entitled to receive compensation for any losses caused due to such delay or non-supply of the Products, except in cases where the delay or non-supply is attributable to the conduct of Customer.

27. MISCELLANEOUS

27.1. **Notices**

27.1.1. Any notice or other communication to be given by one Party to any other Party under, or in connection with, this Agreement shall be made in writing and signed by, or on behalf of, the Party giving it.

27.1.2. **Method of Service**

Service of a notice shall be affected by one of the following methods:

a. by hand to the relevant address set out in Clause 27.1.4 (*Address for Service*) and shall be deemed served upon delivery if delivered during a Business Day, or at the start of the next Business Day if delivered at any other time; or
b. by prepaid first-class post to the relevant address set out in Clause 27.1.4 (*Address for Service*) and shall be deemed served at the start of the second Business Day after the date of posting; or
c. by prepaid international airmail to the relevant address set out in Clause 27.1.4 (*Address for Service*) and shall be deemed served at the start of the fourth Business Day after the date of posting; or
d. by email, to the relevant email address set out in Clause 27.1.4 (*Address for Service*) and shall be deemed served on the day when the sending of the email is recorded on the sender's computer, unless the sender receives a message from its internet service provider or the recipient's mail server indicating unsuccessful transmission. Any such email should be followed by service of the notice through one of the methods in (a) through (c) above, within 3 (three) Business Days of such email being deemed as served pursuant to this sub-Clause (d); or
e. by facsimile transmission to the relevant facsimile number set out in Clause 27.1.4 (*Address for Service*) and shall be deemed served on dispatch, if dispatched during a Business Day or at the start of the next Business Day if dispatched at any other time. Any such facsimile transmission should be followed by service of the notice through one of the methods in (a) through (c) above, within 3 (three) Business Days of such facsimile transmission being deemed as served pursuant to this sub-Clause (e).

27.1.3. In this Clause 27.1.2 (*Method of Service*), "during a Business Day" means any time between 9.30 am and 5.30 pm Indian Standard Time on a Business Day based on the local time where the recipient of the notice is located. References to "the start of a Business Day" and "the end of a Business Day" shall be construed accordingly.

27.1.4. **Address for Service**

Notices shall be addressed as follows:

a. In case of notice to JAPL

Address	:	Ave Maria Complex, 2nd floor, 100 ft Road, Jalahalli Cross Rd, Chokkasandra, Peenya, Bengaluru, Karnataka, 560057
[Fax number]	:	N/A
Email address	:	leopeter@janeaerospace.co.in
To the attention of	:	Leo Peter Charles

b. In case of notice to Customer:

Address	:	[•]
[Fax number]	:	[•]

Email address	:	[•]
To the attention of	:	[•]

Either Party may, from time to time, change its address or representative for receipt of notices provided for in this Agreement by giving to the other Party not less than 7 (seven) Business Days' prior written notice. Until the end of such notice period, service on either address shall remain effective.

27.2. **Waiver**

27.2.1. To the extent permitted by Applicable Law: (a) no claim or right arising out of this Agreement or the documents referred to in this Agreement can be discharged by one Party, in whole or in part, by a waiver or renunciation of the claim or right unless in writing signed by the Party or Parties giving the same; (b) no waiver that may be given by a Party will be applicable except in the specific instance for which it is given; and (c) no notice to or demand on one Party will be deemed to be a waiver of any obligation of such Party or of the right of the Party giving such notice or demand to take further action without notice or demand as provided in this Agreement or the documents referred to in this Agreement.

27.2.2. The rights and remedies of the Parties hereto are cumulative and not alternative. Except where a specific period for action or inaction is provided herein, neither the failure nor any delay on the part of any Party in exercising any right, power or privilege under this Agreement or the documents referred to in this Agreement shall operate as a waiver thereof, nor shall any waiver on the part of any Party of any such right, power or privilege, nor any single or partial exercise of any such right, power or privilege, preclude any other or further exercise thereof or the exercise of any other such right, power or privilege. The failure of a Party to exercise any right conferred herein within the time required shall cause such right to terminate with respect to the transaction or circumstances giving rise to such right, but not to any such right arising as a result of any other transactions or circumstances.

27.3. **Assignment**

Neither Party shall be entitled to, and shall not purport to, assign, transfer, charge or otherwise deal with all or any of its respective rights and/or obligations under this Agreement nor grant, declare, create, or dispose of any right or interest in it, in whole or in part without the prior written consent of the other Party.

27.4. **No Partnership**

Nothing in this Agreement (or any of the arrangements contemplated herein) shall be deemed to constitute a partnership between the Parties, nor, except as may be expressly provided herein, constitute any Party as the agent of another Party for any purpose, or entitle any Party to commit or bind another Party in any manner.

27.5. **Reservation of Rights**

No forbearance, indulgence or relaxation or inaction by any Party at any time to require performance of any of the provisions of the Agreement shall in any way affect, diminish or prejudice the right of such Party to require performance of that provision. Any waiver or acquiescence by any Party of any breach of any of the provisions of the Agreement shall not be construed as a waiver or acquiescence of any right under or arising out of the Agreement or of the subsequent breach, or acquiescence to or recognition of rights other than as expressly stipulated in the Agreement.

27.6. **Independent Rights**

Each of the rights of the Parties are independent, cumulative and without prejudice to all other rights available to them, and the exercise or non-exercise of any such rights shall not prejudice or constitute a waiver of any other right of the Party, whether under this Agreement or otherwise.

27.7. **Specific Performance**

The Parties agree that damages may not be an adequate remedy and that each Party shall be entitled to an injunction, restraining order, right for recovery, suit for specific performance or such other equitable relief as a court of competent jurisdiction may deem necessary or appropriate to restrain the other Parties from committing any violation or enforce the performance of the covenants, representations and obligations contained in this Agreement, subject to the Clause 26 (*Limitation of Liability*).

27.8. **Entire Agreement**

This Agreement, together with the PO or Proforma Invoice, constitutes the entire agreement of the Parties relating to the subject matter hereof and supersedes any and all prior agreements, including expression of interest, binding offers, either oral or in writing, between the Parties hereto with respect to the subject matter herein.

27.9. **Partial Invalidity**

If any provision of this Agreement is, or becomes invalid, illegal or unenforceable under Applicable Laws, then such provision shall (so far as it is invalid or unenforceable) be given no effect and shall be deemed not to be included in this Agreement but without invalidating any of the remaining provisions of this Agreement which shall not in any way be affected or impaired. The Parties hereto shall then use all reasonable endeavours to replace the invalid or unenforceable provisions with a valid and enforceable and mutually satisfactory substitute provision, achieving as nearly as possible the intended commercial effect of the invalid, illegal or unenforceable provision.

27.10. **Counterparts**

This Agreement may be executed in any number of originals or counterparts, each in the like form and all of which when taken together shall constitute one and the same document, and any Party may execute this Agreement by signing any one or more of such originals or counterparts. The delivery of signed counterparts by facsimile transmission or electronic mail in "portable document format" ("**.pdf**") shall be as effective as signing and delivering the counterpart in person.

27.11. **Further Assurances**

The Parties hereto undertake (so far as they are legally able and permitted to do so) they will promptly, or will procure that a relevant Person will promptly, perform any and all such further acts, execute and deliver any and all such additional documentation, exercise any and all voting rights and powers, whether direct or indirect, available to them in relation to any Person, render any and all such assistance and do all such further things as may be necessary, expedient or desirable to ensure the complete and prompt fulfilment, observance and performance of the provisions of the Agreement so that full effect is given to the provisions of the Agreement.

27.12. **Costs and Expenses**

Each of the Parties shall bear their own legal costs, disbursements charges and all other expenses incurred in and about the negotiation, preparation and execution of this Agreement and any other document executed in connection with this Agreement.

27.13. **Survival**

The termination of this Agreement shall in no event terminate or prejudice: (a) any right or obligation arising out of or accruing under this Agreement attributable to events or circumstances occurring prior to such termination; (b) any provision which by its nature is intended to survive termination, including the provisions of Clause 23 (*Governing Law and Jurisdiction*) and Clause 27 (*Miscellaneous*).

IN WITNESS WHEREOF, THE PARTIES HERETO HAVE CAUSED THIS AGREEMENT TO BE DULY EXECUTED AND DELIVERED BY THEIR DULY AUTHORISED REPRESENTATIVES AS OF THE DAY AND YEAR HEREINABOVE WRITTEN

Signed and delivered for and on behalf of

ABC

____

By:

Title:

[Authorised by resolution of the board of directors dated [*insert date*]]

Signed and delivered for and on behalf of

JANE AEROSPACE PRIVATE LIMITED

____

By:

Title:

[Authorised by resolution of the board of directors dated [*insert date*]]

SCHEDULE A:

PRODUCTS DESCRIPTION, TECHNICAL SPECIFICATIONS, WARRANTY PERIOD AND PRODUCTS' LIFE

Sr. No.	Product(s)	Technical Specifications and Installation	Warranty Period* (in years)	Products' Life (In years)**
1.	[•]	[•]	[•]	[•]
2.	[•]	[•]	[•]	[•]

* *Warranty Period shall be computed from the date of delivery of the Products to JAPL.*
** *Life of the Product shall be computed from the date of the manufacture of the Products.*

SCHEDULE B:

MANNER OF CONSIGNMENT INSPECTION AND QUALITY CONTROL TESTS BY CUSTOMER

SCHEDULE C:

MINIMUM PURCHASE OBLIGATIONS OF THE CUSTOMER

Sr. No.	Product Description	Minimum Quantity	Time Period
1.	[•]	[•]	[•]

SCHEDULE D: SCHEDULE OF PAYMENT

A. In case the Product requires time of more than 20 business days to be delivered:

Part	Percentage of Total Price (%)	Event
I	[25]	Issuance of Proforma Invoice by JAPL
II	[60]	Upon Intimation regarding Shipment ready of delivery. The intimation needs to be provided Five days prior to the date of pick up for delivery.
III	[11]	Upon filing of bill of entry at the customs for the Products procured by JAPL.
IV	[4]	Prior to Product despatch in India to the Customer and receipt of Tax invoice from JAPL.

B. In case the Product requires time less than 20 business days to be delivered:

Part	Percentage of Total Price (%)	Event
I	[•]	Issuance of Proforma Invoice by JAPL
II	[•]	Upon filing of bill of entry at the customs for the Products procured by JAPL.
III	[•]	Prior to Product despatch in India to the Customer and receipt of Tax invoice from JAPL.